Sustaining the growth Momentum

Year ended June 2005

Nairobi, 26 August 2005

Also available at www.eabrew.com

EAST AFRICAN BREWERIES LIMITED

Today's Agenda

Part 1: Overview - Group Managing Director

Part 2: Financial results - Group Head of Finance

Part 3: Q&A session

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Part 1: Overview

Gerald Mahinda

Group Managing Director

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Economic and market outlook

(Elections, Positive economic prospects, Polarised market, competition)

The Economic Operating Environment

Kenya:

- GDP growth for 2004 at 4.3% - new accounting approach
- Forecasts a growth of 5% for 2005
- Tourism, higher agriculture exports, building and construction, communication and higher bank credit
- Better economy has reflected in higher beer volumes
- Underlying inflation & interest rates have eased, but remain under pressure (fuel prices and higher bank credit)
- Exchange rate strengthened to historically high levels earlier in the year but is now back to the 75-77 range and stable
- Excise duty on beer increased by 10% (inflation adjustment on specific duty)
- Prospects for further economic growth are positive

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The Economic Operating Environment

Uganda:

- Referendum on multiparty system
- Upcoming elections (2006)
- GDP growth of 5.8%
- Significant growth in Coffee earnings (vol + price)
- Tax collections 19% ahead of budget (but collections as % of GDP is low and reliance on donor funding). But country likely to benefit from G8 debt relief
- Macro economic parameters stable – but inflation under pressure from high oil prices
- Beer market for 2004 remained flat

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The Economic Operating Environment

Tanzania:

- Election year

- Economy has grown at 6.7% but economy is very dependent on funding from development partners contributing approx 45-50% of budget. Likely to benefit from G8 debt relief

- Tax on beer up by 5% in the June budget. Beer market grown by 9%

- Inflation is expected to remain stable.

- Currency has stabilised. Strong inflows of FX– FDI and donor funds

- Economy expected to continue on growth footing

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Market Outlook: The market is polarised

	Branded	Non branded
Spirits & other	✓Industry fragmented ✓Sachets ban in Kenya ✓PET proliferation in Kenya ✓Low barriers to entry in spirits, especially in the value sector (see next slide)	➢Traditional or illicit ➢Higher volume ➢Cheap spirits ➢Unregulated or untaxed ➢Health issues
Beer	✓Volumes on the up in Kenya ✓Uganda volumes static ✓Direct competition in Kenya and Uganda	➢Traditional/illicit brews ➢High volumes ➢Cheap ➢Health issues ➢Unregulated & untaxed

Market outlook: Implications

Beer

Continued polarization of Premium / Mainstream versus "Value"

- Value growing at a higher rate in all markets (will impact overall margins)
- Increased competition in all segments of the market
- Continued proliferation of quasi-branded alcohol especially in Kenya
- The markets will continue to attract new entrants both local and foreign
- To grow and win players have to have:
  - Strong brands (keeping them "fresh")
  - Consumer focused
  - Advantaged RTM
  - Move from strategy to action quickly
  - Shape the market (Should not be a follower)

Spirits

- Dysfunctional
- High pace of change & intense competition
- Proliferation of new "pack" and SKU post sachets in Kenya
- Dynamics in one country may replicate in another (e.g. PET moving to Uganda)
- A large part of the market is semi formal and largely untaxed
- Significant interplay with illicit segments and with value beers
- To grow and win players need to have:
  - Ability to execute fast and aggressively
  - Flexible RTM and trade incentives
  - Winning proposition (must offer value)
  - Distinctivity at top end

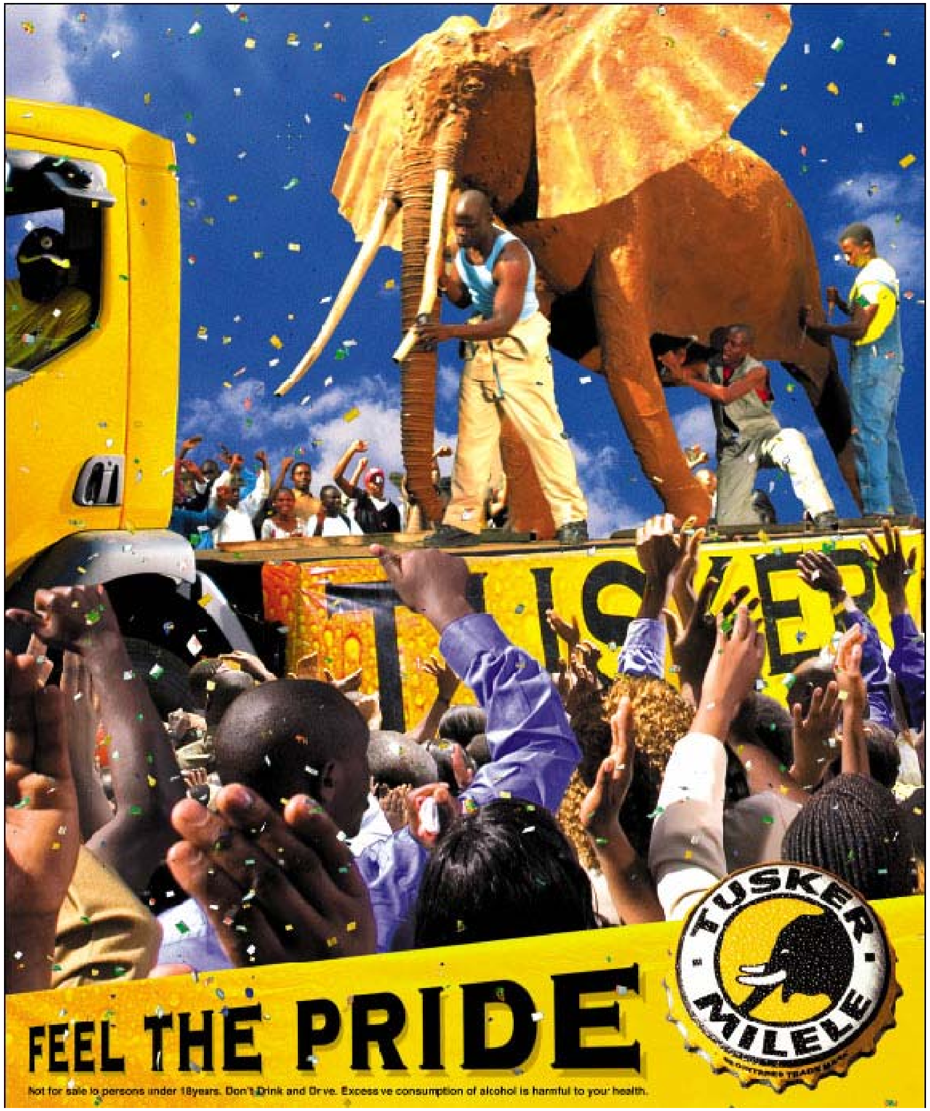
Innovation and renovation agenda

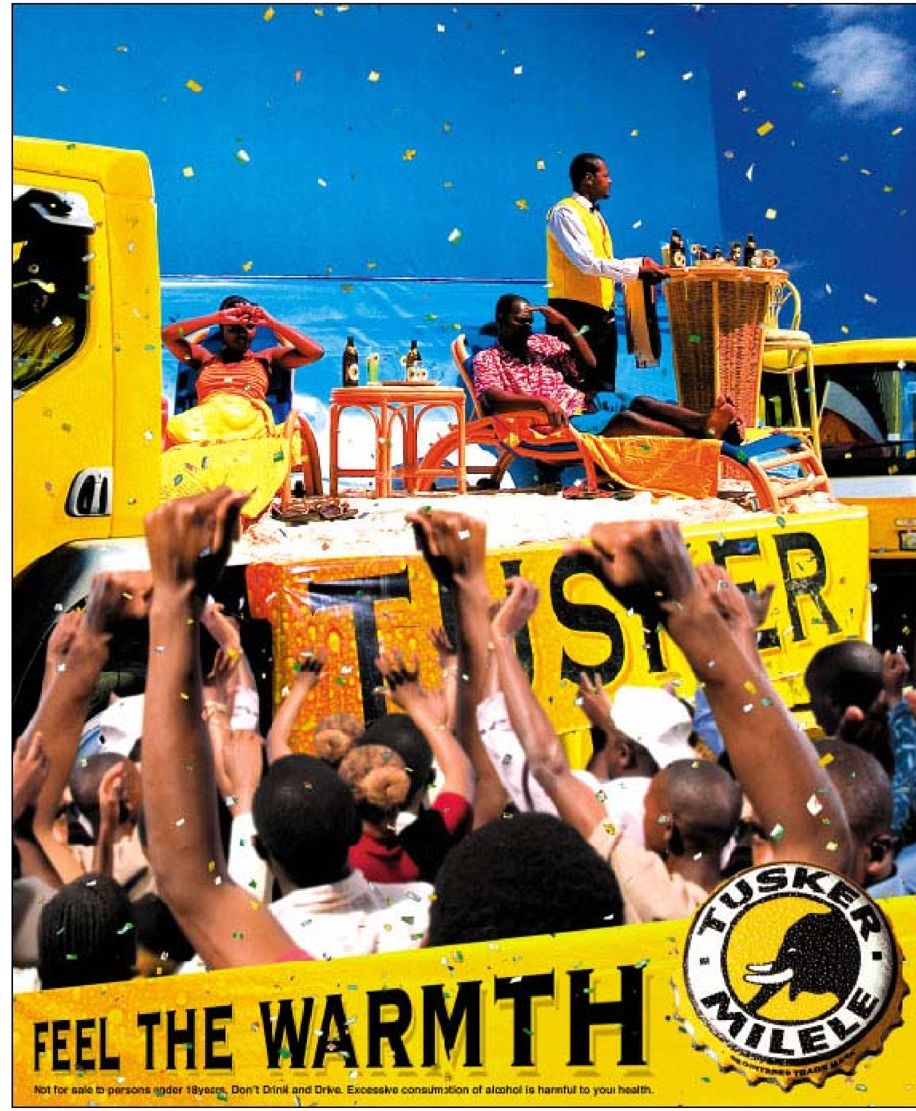
(Seeking growth opportunities to maximise portfolio)

Innovations /Renovations (across our markets)

	Existing offering	New offering
Pack renovation	•TML redress (K &U) •Pilsner pack harmonization •Smirnoff RI pack change	•Tusker Keg (Kenya) •Senator Keg (Kenya) •Liberty (Uganda) •Whitecap light (Kenya) •Smirnoff Black ice
Current Pack	•New communication on a number of key brands –Tusker – regional –Bell –Pilsner – regional –Smirnoff Ice	•Heineken (Kenya) •Kane extra Golden Spirit •Senator bottle (Uganda) •Kenya Gold L (Kenya) •V&A (Kenya)

Tusker – Rejuvenation….





…resonates with consumers across the age groups

Senator Keg: A branded alternative

….new consumers, new RTM, new Business model

SENATOR EXTRA LAGER

UBL successfully launched Senator Extra Lager in December 2004.

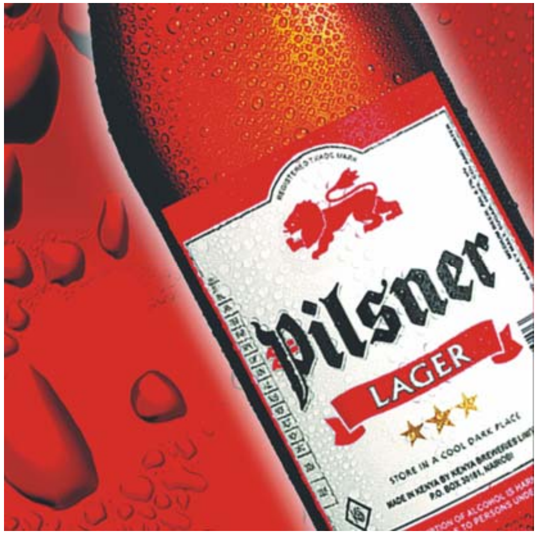
This lager brewed from local barley has shown strong potential.

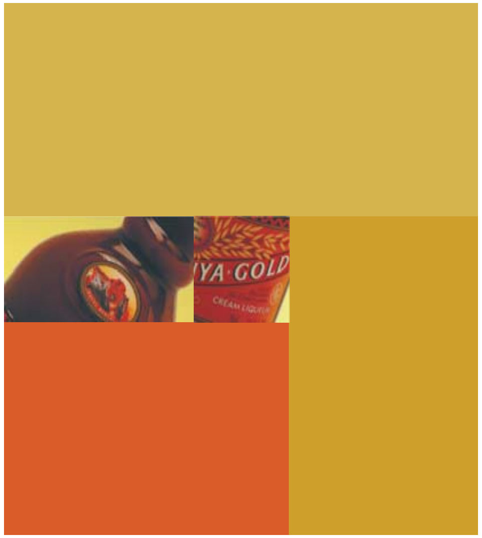
Brand association with cultural festivals in all districts in Uganda Have been a phenomenal success.

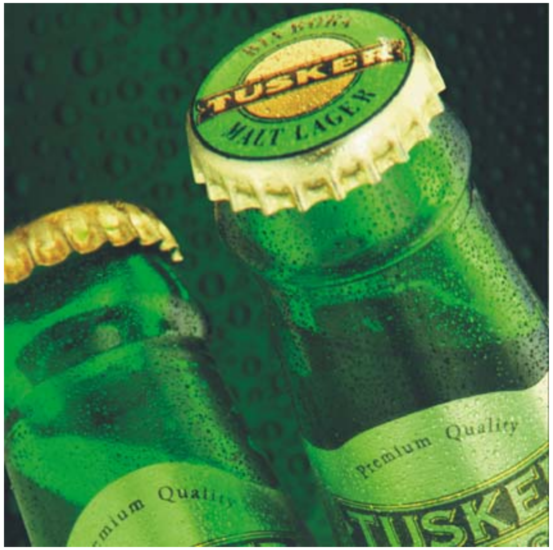
The barley growing scheme in Kapchorwa which started in 2003 with 50 farmers has expanded to 2,500 farmers in 2005.

UBL has signed an agreement with Enterprise Uganda to transfer business skills to the farmers to assist them in this project which is moving from strength to strength.

Innovations / Renovations







Innovations and renovations

Investing for future growth

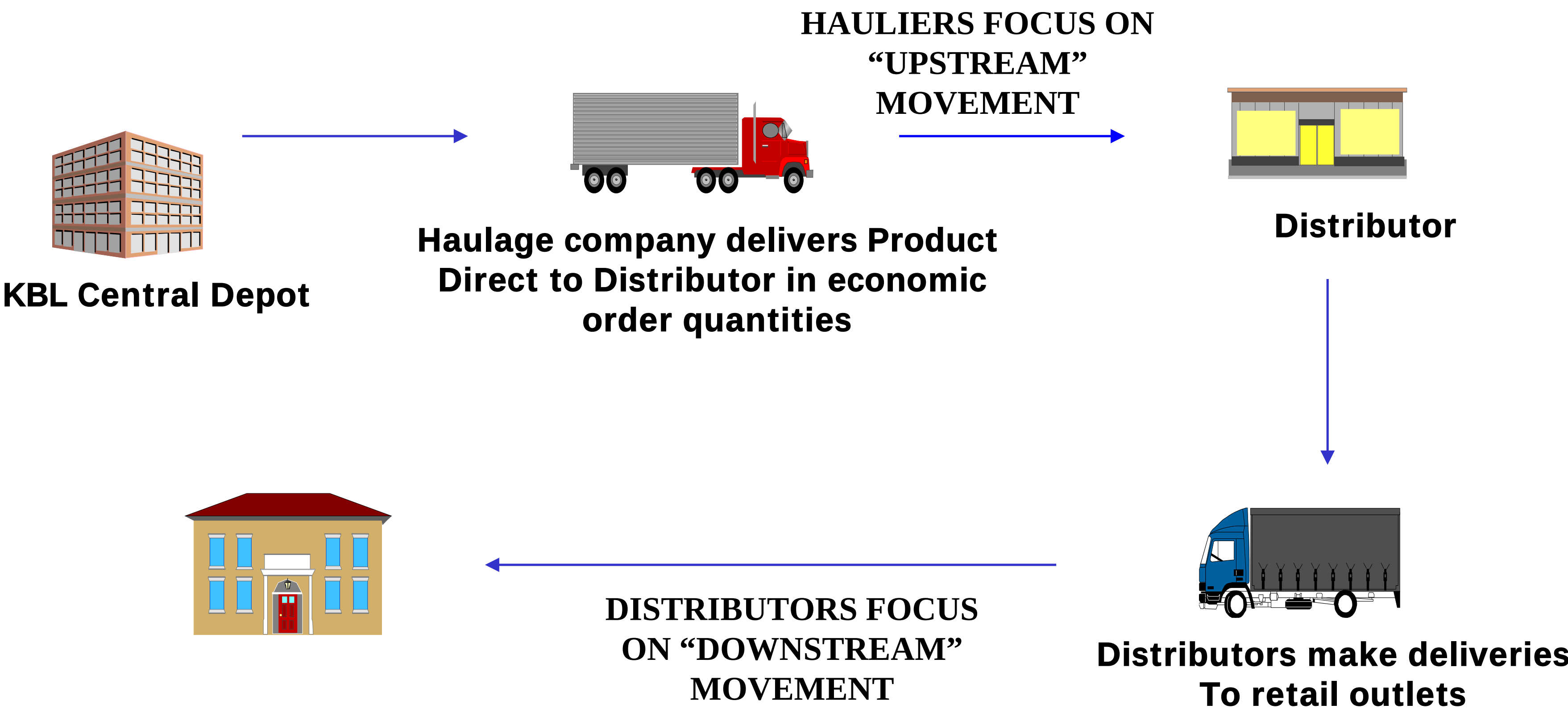
(Target: Efficiency, Advantaged RTM & People capability)

Major Capital Investment projects in 2004/5

• Brewhouse upgrade	Kshs 600m
• New Spirits Line	Kshs 500m
• New Keg Line	Kshs 400m
• Effluent plants	Kshs 600m
• DPVs	Kshs 590m
• Utilities in Uganda	Kshs 400m
• Glass Furnance rebuild	Kshs 450m

Objective: Increase capacity & efficiency in Kenya, achieve security of supply in Uganda

Sambaza: Re-engineering our RTM



Volume uplift, National Role out in Oct

People: Continued investment in people

- Launch of a new performance management system Partners for Growth (P4G):
  - Focus on individual growth within the business
  - Better linkage between Personal and Business goals
- A number of senior managers(Kenya + Uganda) have joined EABL - Objective:
  - Strengthen the management team
  - Focus on Mission critical areas
- Focus on training and capability development (see project Sunrise in UBL next page)
- Enhanced strategic change management capability
- Recruitment of GMTs (in Kenya and Uganda)
- Staff integrity, responsibility and welfare – see following slide

The People agenda will continue to be top of mind

Integrity and responsibility In the Company

- All our employees have signed and are aware of our Code of Conduct.
- We have adopted the best Practice Marketing Code.
- We have launched “ARV’s for life for all staff in all subsidiaries
- We have launched to staff comprehensive Employee Alcohol Education Policy.

Sports Sponsorships: Kshs 110m pa

(Bringing the brands alive through sponsorship)

Tusker Race Day

An audience of over 15,000 people attended the Tusker Race Day

Tusker Safari Sevens

‘Go Kenya’…..part of the excited crowd at the Tusker Safari Sevens, Kenya’s premier rugby event that attracts top National & Club sides from Africa and Europe and the Samoa

Tusker Cup Tournament

KISS THE CUP! It was all celebration as Chief Guest Hon. Raila Odinga presented the Tusker Cup winners trophy to Tanzania's Simba SC Captain.

White Cap Polo Event in Nairobi

White Cap Chapandaz in full action in the White Cap Mug's Mug Polo tournament at Nairobi Polo Club (Aug 05)

Other sponsorships include

- Tusker international athletics
- Tusker FC
- Jonnie Walker Classic
- Tusker Open

Investing in the community

(Developing a sustainable relationships in the markets we operate)

Corporate Social Responsibility

- Health
- Water for life
- Skills for life
- Environment
- National emergency

EABL FOUNDATION

Enriching Lives!

1. Vice Presidents of both Kenya and Uganda launched EABL Foundation concurrently
2. EABL Foundation commits minimum 1% of EABL’s profit after tax
3. EABL Foundation has its own Manager, Board and Charter
4. This years CSR spend is up 50%

Water of Life

- Launched Kshs 5 million project in partnership with AMREF in Nzueni, 55,000 people to benefit.
- Commissioned Kshs 4 million project in Wepma Thika, 20,000 people have benefited.
- Kshs 2 million water project in Nyatigo near Kisumu to be commissioned soon.
- Rain water harvesting in Uganda

Health

- Support for Sickle cell association in Uganda
- Medical camps for Meru and Nairobi West prisons in Kenya
- Beds for hospitals project
- Optical Centre in Kilimanjaro Christian Medical Centre - Moshi in Tanzania

EABL Scholarships

EABL scholarship vetting and candidate identification done by Strathmore university for Kenya, Uganda and Tanzania

- Launched Kshs 19 million scholarship programme for 14 students across East Africa.
- Degrees include Information Technology, Business, Engineering and Food Science
- The scholarship will cover – Tuition fees, hostel accommodation and living expenses

Responsible drinking

(Revamped our efforts in this area targeting key stakeholders)

Responsible drinking

- Launched in Kenya in September 2004, and expected to roll out in Uganda soon.
- Kshs 25 million injected into Kenya programme in 2004 and 2005.
- Multifaceted in its approach:
  - targets all stakeholders (employees, customers, consumers, media, general public)
  - engages an integrated mix of tools (TV, radio and print advertisements, workshops, development of resource materials in partnership with eminent psychologist, Dr Frank Njenga, consistent Responsible Drinking messages in all our communication, etc)

Activities driving the RD programme

Bartender training
More than 3,500
bar tenders trained
over past three years

Parents and teachers guide on alcohol education
Resource materials being designed to assist in handling and discussing alcohol issues

Employee alcohol policy
Concrete demonstration of EABL's commitment to responsible drinking culture

Billboard and press advertising campaigns
"Drink Responsibly, Live Responsibly" message targeting consumers

Engaging
Educative
Empowering

Media workshops
Forum for objectively addressing alcohol abuse and other related issues with journalists

University lectures
Development of materials on responsible drinking and talks on health/alcohol

Communications messages in all advertising and promotional materials
Reinforce responsible drinking messages

Alcohol and You
Weekly newspaper column (Q&A format)

Future Strategic Focus

(Objective: To deliver sustainable shareholder returns)

Our strategic focus: Next 12 months

- ***Top line growth*** drive through Senator and new products
- Consolidate gains in mainstream brands in Kenya and Uganda
- Aggressive marketing/sales efforts to enhance ***presence & reach***
- Initiatives to improve the value chain - distribution and logistics
- ***Use of local raw materials for Senator in Uganda*** (Expand local barley growing)
- Complete ongoing capex projects to deliver additional capacity & stability/security of supply
- ***Move towards cost leadership*** in production and distribution
- ***People agenda*** – Focus on recruitment and capability building
- Install a new keg line at KBL
- Complete integration of UDV into KBL
- Install new spirits packaging line in Kenya
- ***External Affairs***: responsible drinking campaigns and the promotion of socially responsible agenda; community investment

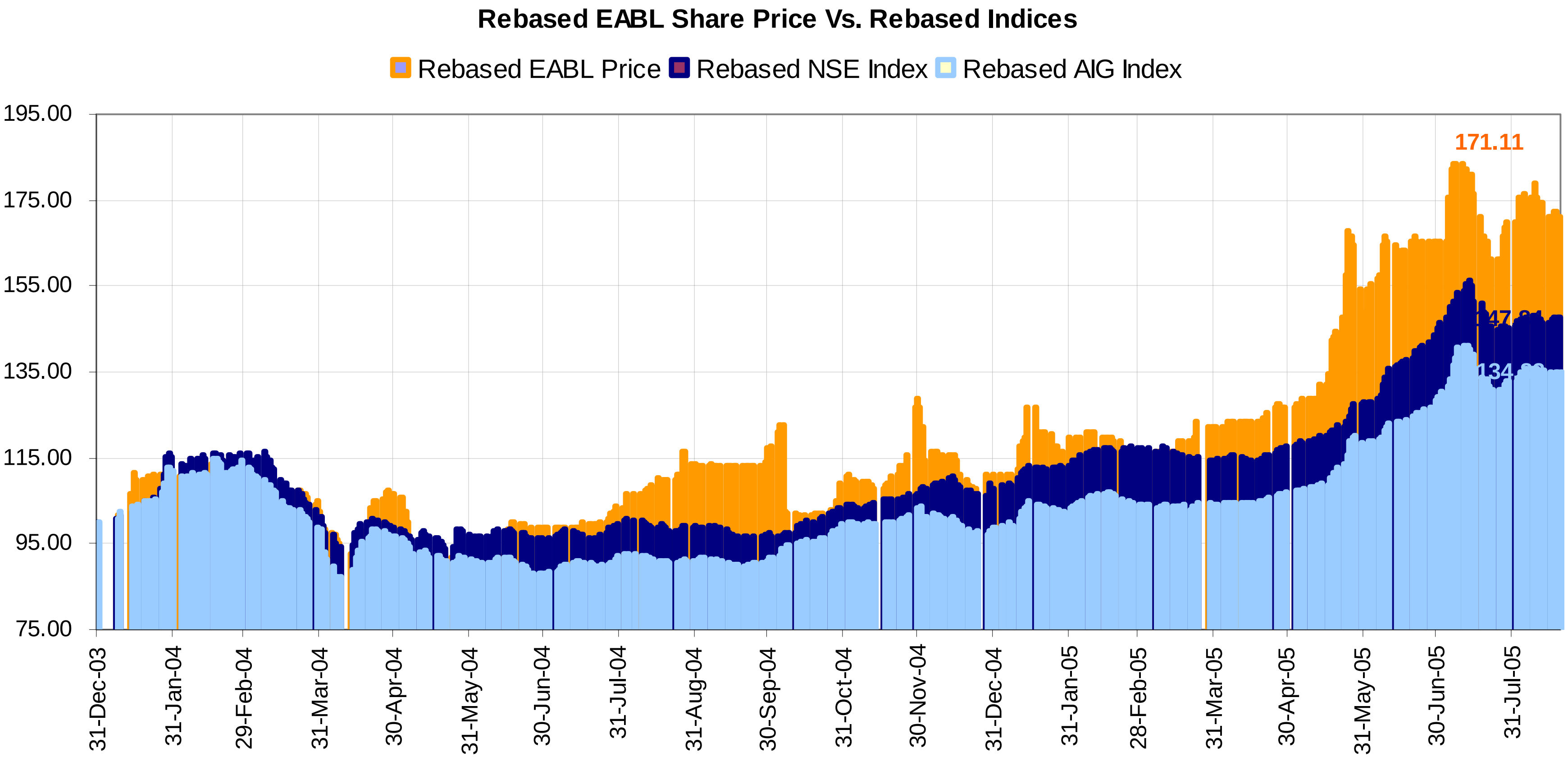
Success will come from shaping the market and staying ahead of competition

A new strategic thrust: Next 36 months

- New ***Vision*** and ***Mission*** for EABL to take the business to the next level. A dashboard to measure performance
- Better linkage between performance and reward
- ***Organic and Inorganic growth***
- Focus on a ***broader product range*** (incl non alcoholic drinks)
- Innovation & renovation across our product range
- Work with Gov't on excise in Kenya and Uganda
- ***Cost leadership*** in production and distribution
  - New ways of working to deliver greater efficiencies (process)
  - Building on the use of shared service centre for other back office services.
  - Investment in a new IS system to deliver changes
- ***People agenda*** – we will focus on capability building & retention of the best people
- ***Invest in plant & equipment*** in Kenya and Uganda to sustain growth

Success will come from reinventing our business to meet shareholders' and stakeholders' expectations

EABL has continued to outperform the market



During this year, EABL hit a high of US$1.4bn in terms of mkt cap

2005 Performance: Highlights
(A strong platform for the future)

Key highlights: Past 12 months

- **We have had an excellent year: Highlights**
  - **Kenya**: Maintained the growth momentum through innovation + growth in economy
  - **Uganda**: Volumes up despite a static market resulting in higher share
  - **Tanzania:** The overall market grew (increasing our share of TBL profits) but our brands delivered mixed results.
  - **Spirits**: A challenging year in Kenya following the Sachets ban and in Uganda following increase in duty but the two markets have recovered
  - EABL's **listing in Tanzania**
  - Launch of **EABL foundation** in Kenya and Uganda
  - Significant involvement in **community activities** and **responsible drinking** initiatives
  - EABL's **market capitalisation** now approx US$1.4bn

Part 2: Financial results

Sam Oduor

Group Head of Finance

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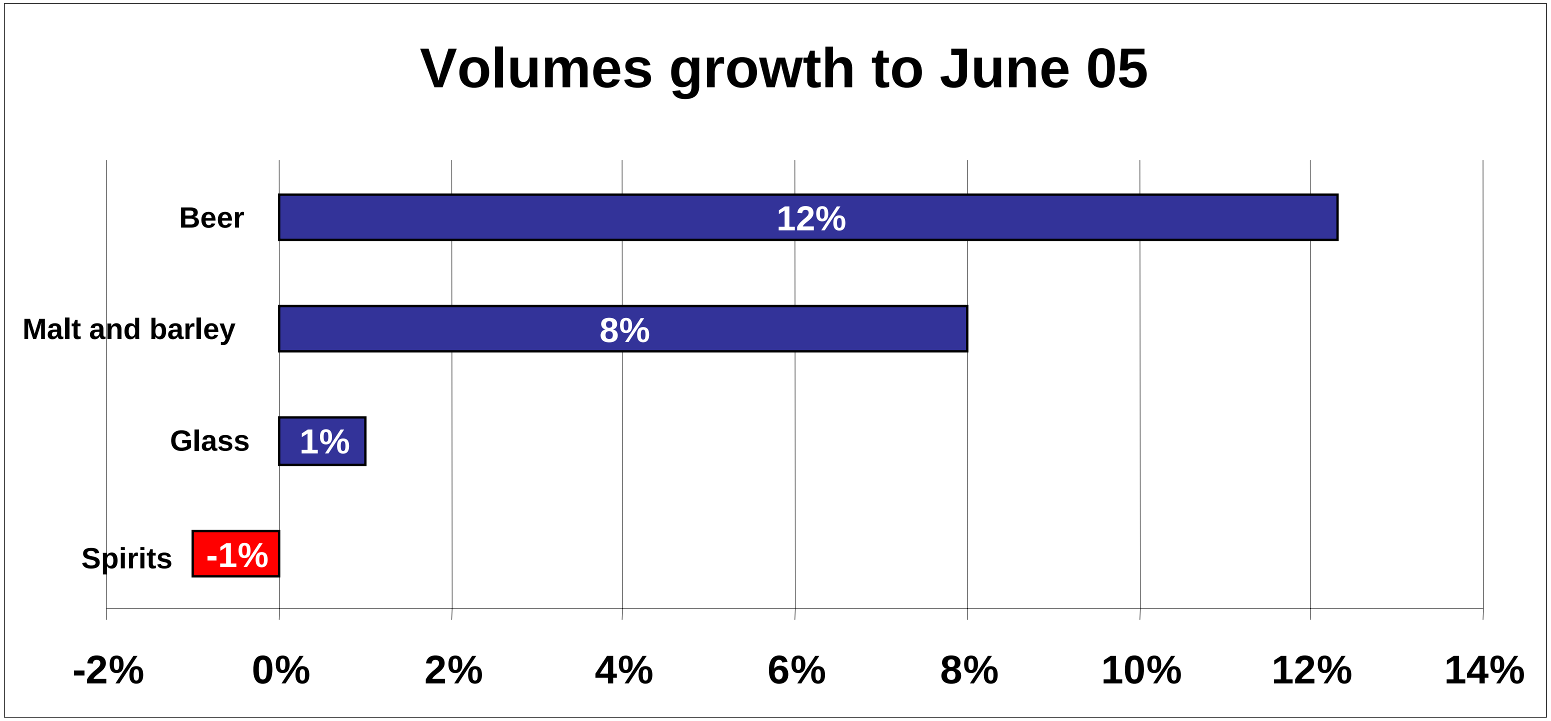
In summary:

- Strong top line growth
- Investments in brands and assets paying off
- Plant efficiencies and strong cash position

Pre-Tax Profits Up by 22%

Top line growth in our beer business (group)



Volume 2004/5 versus 2004/5 (check numbers)

Segmental Information: KBL

	Volume	NSV	PBT
2005	2.63m hl	13,570m	6,001m
VS			
2004	2.28m hl	11,884m	4,973m

- Beer volumes are up 15% - underpinned by the economic growth in Kenya and product innovation
- NSV + 14% - in line with our volume growth
- PBT is up 21% - greater efficiency & cost control in addition to the volume growth.

Segmental Information: UBL

	Volume	NSV	PBT
2005	657K hl(beer) 239k 9lc (spirits)	3,758m	542m
vs			
2004	619 hl (beer) 224k 9lc (spirits)	2,979m	218m

- Volumes: Beer +6% Spirits +7%
- NSV is up 26%, mix of price and volumes
- PBT 542 million + 148% up on LY – Prior year was affected by stock out situation which we have corrected

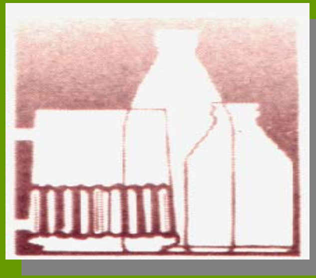
Segmental Information: UDV

	Volume	NSV	PBT
2005	333k 9lc	1,145m	453m
VS			
2004	353k 9lc	1,019m	492m

- Volumes down 6% because of the ban on Satchets previously 50% of volumes.
- NSV up 12% as a result of better brand mix
- PBT down 8%mainly because of higher production costs – arising from substitution of satchets with glass.

Segmental Information: CGI

	Volume	NSV	PBT
2005	24,663 tns	964m	41m
vs			
2004	24,452tns	868m	15m



- Volume + 1%
- NSV + 11% - Better mix achieved and pricing
- PBT + 173%- Prior year was unstable with cost issues relating to the old furnace

Segmental Information: KML

	Volume	NSV	PBT
2005	46,954tns	1,660m	103m
VS			
2004	43,311tns	1,500m	142m

- Malt and barley +8% - Growth reflects strong volume growth in beer
- NSV up 11% being a mix of volumes and price.
- PBT down 28%, in prior year we had a one off gain on barley sales.

Segmental Information: EABL & Other

	Volume	NSV	PBT
2005	266k hl(*)	N/A	1,353m
VS			
2004	288k hl (*)	N/A	1,018m

EAST
African
Breweries

(*) – Represents volumes in Tanzania

- Volume: Our brands in Tanzania down 8%, though overall volume increase of 9.5%
- EABL income includes management and royalty fees plus share of TBL profits (33% higher because of higher TBL profit and increased management from growth in volumes)

Consolidated Profit & Loss

In Kshs Millions	2005	2004	Change %
Gross Turnover	**34,790**	**30,077**	**16%**
Indirect taxes (Excise duty and VAT)	**(15,492)**	**(13,484)**	**15%**
Net Revenue	**19,298**	**16,593**	**16%**
Profit before taxation	**8,599**	**7,042**	**22%**
Income taxation	(2,823)	(2,294)	23%
Profit after taxation	**5,776**	**4,748**	**22%**
Net profit after minorities	**4,770**	**3,849**	**24%**
Basic Earnings per share – KShs (Restated)	**7.24**	**5.87**	**23%**
Dividend per share - KShs (Restated)	**4.50**	**3.48**	**29%**

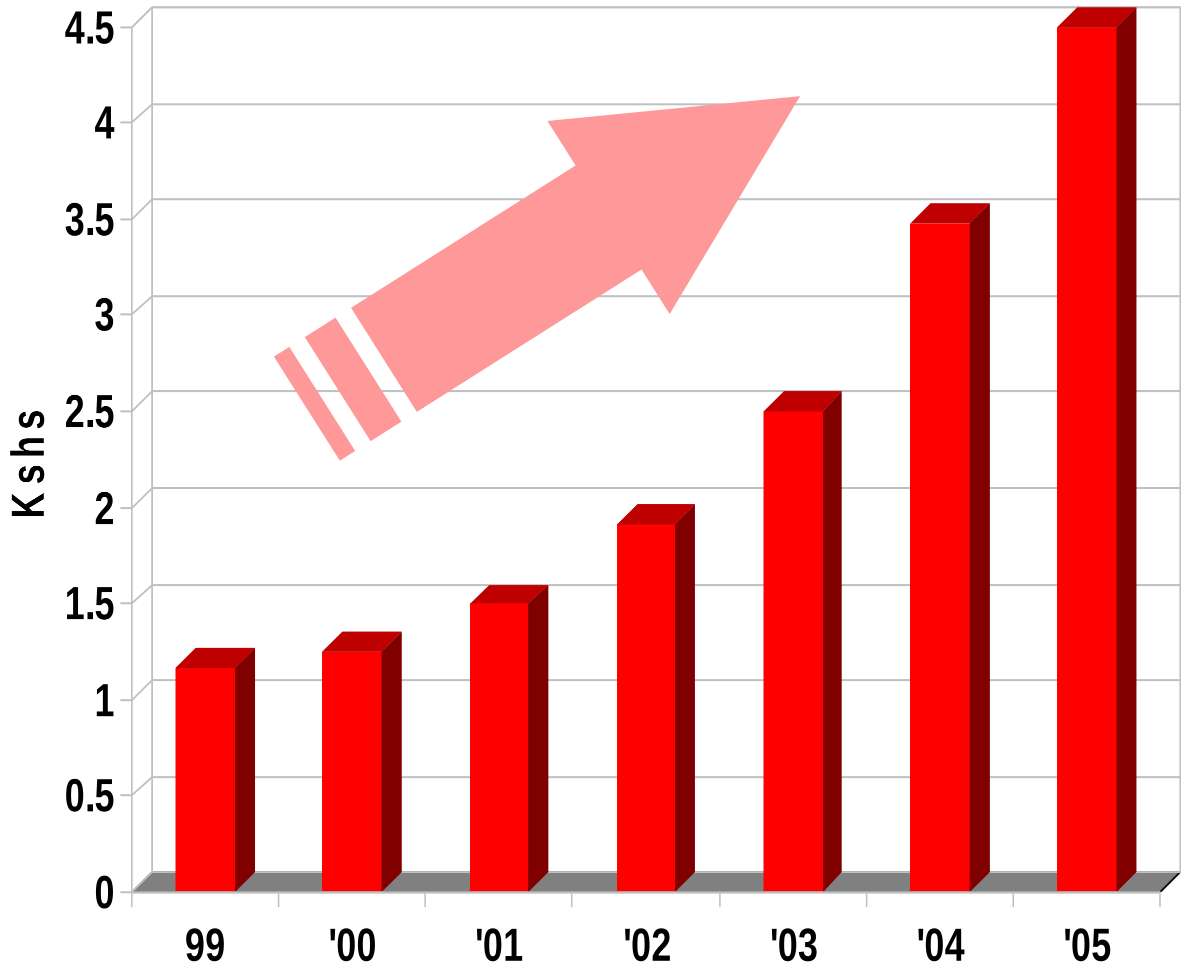
Consolidated Balance Sheet

In Kshs Millions	2005	2004	Change %
Fixed and other non current assets	**10,040**	**9,774**	**3%**
Stocks Debtors Other Cash and term deposits	3,335 1,963 267 7,134	3,490 1,767 517 5,223	
Current assets	**12,699**	**10,997**	**15%**
TOTAL ASSETS	**22,739**	**20,771**	
Shareholder funds	**15,347**	**13,545**	**13%**
Minority interest	**1,659**	**1,714**	**3%**
Non current liabilities	**1691**	**1,606**	**5%**
Current liabilities	**4,042**	**3,906**	**3%**
TOTAL EQUITY AND LIABILITIES	**22,739**	**20,771**	

Summary: 2005 versus 2004

Volumes Beer	↑	12%
Volumes Spirits	↓	1%
Turnover	↑	15%
NSV	↑	16%
Gross Profit	↑	12%
PBT	↑	22%
PAT	↑	22%

Dividend Per Share Trends



The EABL Directors recommend a final dividend of Ksh 3.00 (2004 – Kshs 2.375). Total dividend is Kshs 4.50 (2004 – Kshs 3.48)

Q&A


TUSKER
MALT LAGER
Premium Quality
Quality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